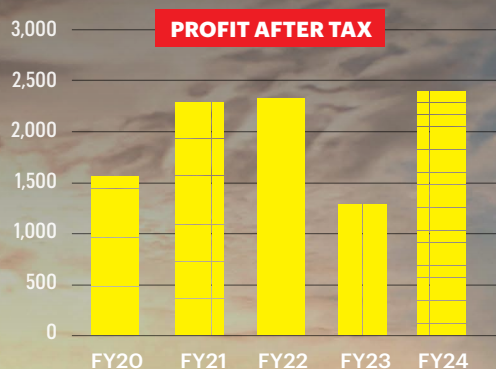
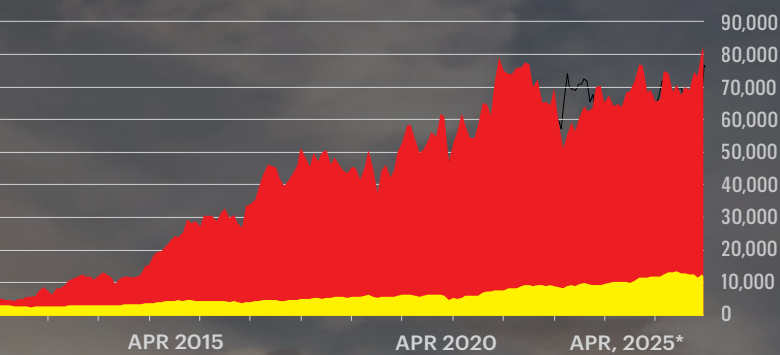




NOTE ALL FIGURES IN ₹ CRORE;
*DATA AS OF APRIL 9
SOURCE ACE EQUITY



Akhoury, buying behaviour across the south varies quite distinctly and it cannot be viewed as one homogeneous market. “We are strong in the north and getting stronger in the east. It is with that confidence that we are looking at the region,” he says. The company has two integrated plants in Karnataka and Andhra Pradesh. “We have started in a small way with Kodla and, more recently, in Guntur. While Kodla (located in Gulbarga district in Karnataka) can service parts of Maharashtra, Guntur gives us an opportunity in Hyderabad and potentially Amravati (Andhra Pradesh’s capital that is expected to see big-ticket infrastructure development) and Chennai as well.”

Understandably, the approach to this region has to be very different. The area has high quantities of limestone and moving there is a logical step. “However, oversupply is huge, and the strategy of being a cost leader and prioritising volume growth that worked in north India is unlikely to work in the south. The focus has to be on value over volume and going slow on market share gains,” says Rakesh Arora, Managing Partner, Go India Advisors, an investor relations company.

He says the thrust on premium products is a consequence of the company’s approach to value.

“Fortunately for them, both UltraTech and Ambuja have recently made big acquisitions in the south, and that might help in maintaining supply discipline in the region,” says Arora.

For now, Shree Cement has embarked on a journey that will push it to the limit. The competition has deep pockets and can match it on both patience and perseverance.

Maybe Bangur would consider a few buyouts in the south or do more in the overseas markets (there is a presence in the UAE). What is obvious is that it would strategise as per the company’s understanding of the Indian market and requirements, and not simply follow the crowd. **BT**

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